

Now, this premium amount of ₹10 is Mr. A's outflow and also the maximum loss value. As the price decreases below the strike price of ₹100, the put buyer starts to recover their premium and reduce losses. After the price goes below the Break-even point, the put buyer becomes profitable.

CURRENT MARKET PRICE (CMP)	STRIKE PRICE - CMP - PREMIUM = PROFIT/ LOSS	REMARKS
₹110	$₹100 - ₹110 - ₹10 = \cancel{₹20} (₹10)$	Loss of premium as the option will not be exercised.
₹100	$₹100 - ₹100 - ₹10 = (₹10)$	Loss of premium as the option will not be exercised.
₹95	$₹100 - ₹95 - ₹10 = (₹5)$	Losses will decrease as some part of the premium will be recovered as payoff.
₹90	$₹100 - ₹90 - ₹10 = ₹0$	This is the break-even point where neither the buyer nor the seller makes any profit or loss.
₹80	$₹100 - ₹80 - ₹10 = ₹10$	If the price continues to fall below the break-even price, the buyer of the option will make a profit and will make more money with every price decline.

THE PROFITS OF THE BUYER ARE UNLIMITED BEYOND BREAK-EVEN POINT I.E. ₹90
THE LOSSES ARE CAPPED TO THE PREMIUM PAID BY THE PUT OPTION BUYER.